The Next Chapter

A beautiful home in Chester. *A new way of life.*



An established couple sell the family home and use the equity to buy Castle House, with a modest mortgage for the rest. They live comfortably and put every spare pound towards the mortgage.

All three Castle House illustrations use the same business and the same trading assumptions. The couple live on a set budget and put every other pound towards their borrowing.

SALARY EQUIVALENT

£65k

Gross household salary. Leaves £53,839 a year after tax to live on, plus their home.

DEBT-FREE IN

8.1 yrs

All borrowing repaid.

INCOME THEREAFTER

£146k

Equivalent gross household salary, once debt-free (£105,596 a year after tax).

The cost

Property purchase	£675,000
Refurbishment	£120,000
Stamp duty	£23,750
Legal & professional fees	£10,000
Initial working capital	£20,000
To fund	**£848,750**

How it's funded

Their own money Equity and savings	£500,000
Bank mortgage 6.0% over 25 years · 52% of the purchase price	£348,750
Total	**£848,750**

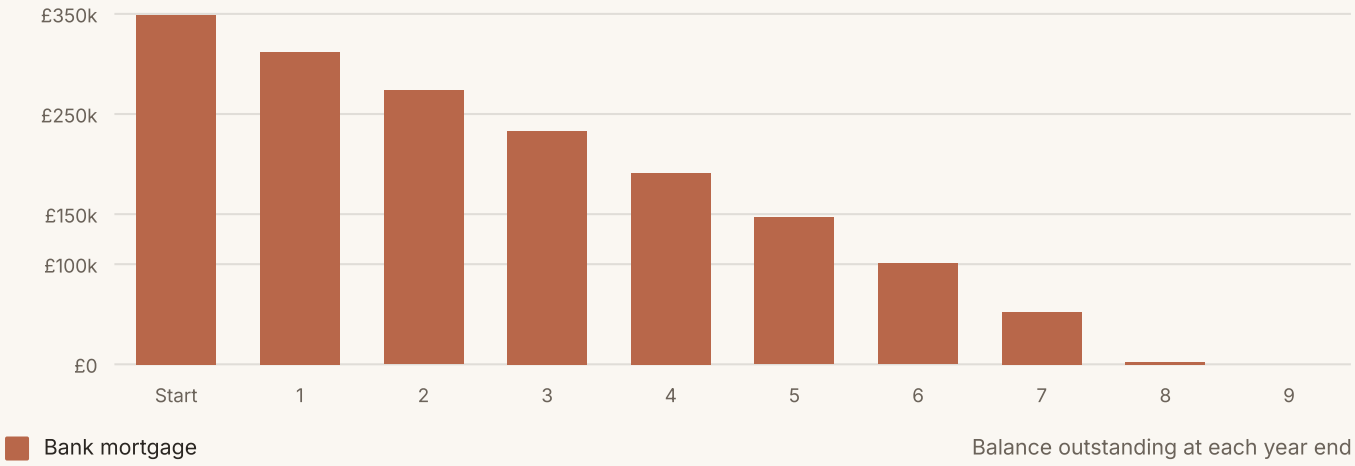
The business

Guest bookings Base trading year	£236,208
Less VAT	−£39,368
Less running costs Commissions, breakfast, utilities, insurance, upkeep and more	−£53,783
Owner earnings **Before personal tax; the owners do the work themselves**	**£143,057**

The household, year one

Owner earnings	£143,057
Income tax & National Insurance Two equal partners	−£32,441
Living budget £65k salary equivalent; housing provided	−£53,839
Towards borrowing **Of which £26,964 is the scheduled mortgage payment**	**£56,777**

Debt repayment timeline



8.1 years	Bank mortgage repaid, instead of 25 years.
Thereafter	£105,596 a year after tax, with no borrowing, from the same business.
Interest paid	£90,053 in total across all borrowing.

Year by year

Each year: owner earnings less tax leaves the after-tax income. The couple keep their living budget; the rest pays the borrowing. Once the bank mortgage is cleared, money no longer needed for it goes back to the household.

Year	Owner earnings	Tax & NI	After tax	Mortgage paid	Household income	Debt at year end
1	£143,057	£32,441	£110,616	£56,777	£53,839	£311,895
2	£143,057	£33,009	£110,047	£56,208	£53,839	£273,352
3	£143,057	£33,604	£109,453	£55,613	£53,839	£233,044
4	£143,057	£34,226	£108,830	£54,991	£53,839	£190,888
5	£143,057	£34,877	£108,180	£54,341	£53,839	£146,802
6	£143,057	£35,557	£107,499	£53,660	£53,839	£100,696
7	£143,057	£36,269	£106,788	£52,949	£53,839	£52,477
8	£143,057	£37,013	£106,044	£52,204	£53,839	£2,050
9	£143,057	£37,458	£105,598	£2,060	£103,538	£0
10 · debt-free	**£143,057**	**£37,461**	**£105,596**	**£0**	**£105,596**	**£0**

Key assumptions

Trading. A mature, well-run year from the start: £236,208 of guest bookings and £143,057 owner earnings, every year. In practice a refurbishment and launch period would come first.

The work. The owners run the guesthouse themselves; owner time is not costed. Their reward is the living budget and, over time, owning the property and business outright.

Living budget. £53,839 a year after tax: what two employees on £32,500 each would take home (2025/26 income tax and National Insurance). Housing is provided by Castle House and not valued here.

Borrowing. Bank mortgage at 6.0% on a 25-year repayment basis, with overpayments allowed. Lender approval and terms are assumptions.

Tax. A two-partner business, profit shared equally: 2025/26 income tax and self-employed National Insurance. 60% of loan interest treated as a business expense, to be confirmed with an accountant.

Today's money. No inflation is applied to prices, costs or living budgets.

If things differ

Scenario	Debt-free
Base case Base trading, as illustrated	8.1 years
Weaker trading Conservative scenario: owner earnings £107k a year	15.9 years
Mortgage rate +1% 7.0% instead of 6.0%	8.3 years
No tax relief on interest If none of the loan interest were tax-deductible	8.7 years

Each line changes one assumption and keeps the same living budget.

Please note

This is an illustration of how the Castle House opportunity could work for one kind of buyer. It is not a forecast, an offer of finance or financial, tax or legal advice. Castle House is not currently trading as a B&B, and any change of use or refurbishment is subject to planning permission, listed building consent and other approvals. Actual results depend on trading performance, costs, financing availability and personal circumstances. Please take independent professional advice. Viewings: Currans.